

outcomes to skill and bad outcomes to bad luck. A good trade does not necessarily imply that the investor was better at “doing his homework,” nor does a bad trade necessarily imply that the investor did a poor job of “doing his homework.” And yet, our minds will often attribute a successful trade to our wonderful ability to collect and interpret mounds of filings submitted to the SEC, our ability to do the “hard work” of conducting channel checks on suppliers and customers, and our magnificent skill in being better than the average investor in the marketplace. Of course, when we endure a poor trade, we don't attribute the bad performance to a lack of skill, but instead, the bad trade can be squarely blamed on bad luck: an unforeseen change in government policy, or perhaps a remarkable change in the price of underlying commodities that “nobody could have seen coming.”

A better approach for dealing with success and failures is to systematically discount success and overemphasize failures. Flip self-attribution bias on its head, or as Charlie Munger, vice chairman of Berkshire Hathaway, has promoted from time to time as a useful guiding principle, “Invert; always invert.” While unappealing to most, reiterating that we are not as smart as we thought we were and realizing the pain of bad decisions can actually make us stronger, since it is a more accurate representation of reality. As the saying goes in the Marine Corps, “Pain is weakness leaving the body.”

Overvaluing additional information and attributing success to our “personal skill” is a dangerous trait we should all monitor and be aware of. These two forces contribute to systematic and predictable overconfidence. For sports predictions, the bias is relatively harmless and amusing; however, the same bias, when deployed in the financial realm, can have disastrous consequences. Be wary of experts and their incremental information. It's not as valuable as you (and they) might think.

## Summary

In this chapter, we reviewed Wes's experience in Iraq, and how stressful combat conditions could drive soldiers to make irrational choices that were clearly inconsistent with their instinct to survive. In parallel, we examined specific biases that can impair human judgment. These include anchoring, framing, availability, effects of physical state, and overconfidence. The results, and takeaways, are strikingly similar. Human beings, including